

exemption should go. So, partly the so-called exit policy is being driven by that motive. And the remainder of it is the monetary policy tightening which is expected to happen because of the inflation and the RBI hardening rates. We will achieve 7 per cent growth, thanks to the Pay Commission effect on states plus spend on right to food and education.

Ashima Goyal: I am not so pessimistic because, besides India and maybe South Korea, inflation is low everywhere. There is excess capacity and the world believes in the India growth story. So we are seeing a lot of inflows coming which is reviving industry and industrial general expectation. We are in the middle of the investment cycle; IIP has done well and because of the inflows rupee has begun to appreciate, so rising oil prices can be managed. Also this inflation is commodity-specific and vegetable prices are a seasonal freak occurrence. On interest rates if you want to compare anything, then 2007 is not the correct year, 2004 is. Because our interest rates today are 125 basis points below what they were in 2004

“

One can see the early signs of recovery—consumer confidence as well as investor confidence are back.

Higher inflation may lead to a hike in interest rates, worsening the investment climate. This is how politics chokes growth.”

SIDDHARTHA ROY
Chief Economist, Tata Group



BHASKER PAUL/www.indiatodayimages.com

and interest rates began to harden then. India is now much more interest rate elastic and with banks passing on lower interest rate benefits we see revival in sales and retail credit. This will boost demand.

Ajit Ranade: First of all, apart from the global factors prior to 2007, remember that in India the capex rate of growth was almost 20 per cent. So those four or five years there had been 9 per cent GDP growth. We actually had capital spending largely by the private sector, going at almost 20 per cent. And that peaks sometime in late 2006. That is an important ingredient or determinant of the growth prior to 2007. And that had started coming now, so India was already experiencing a classic business cycle phenomenon and that business cycle is something to do with over-investment. We saw that, for example in the steel sector; steel capacities in the mid-1990s, late 1990s and that invariably happened, so this business cycle phenomenon is somewhat different from global crisis. But once Lehman happened, we had other extreme reactions. After March 2009, they are back to our overt business cycle. But the tricky point is that this very outlook can get discouraged by an RBI policy. But I want to emphasise that the threat of inflation is real.

Aiyar: So what you are saying Ajit is that the RBI's thoughts can influence sentiments and therefore adversely impact the outlook.

Prabhu Chawla: Which inflation are we talking about—is it food price inflation? There is no inflation as far as manufactured goods and high-end products are concerned. The best cars get the cheapest financing. And food price inflation impacts the poorest and middle class but there is no inflation in air travel, hotel rates and commodities the

AJIT RANADE

Chief Economist, Aditya Birla Group

“

The Government must try and get GST rolling out very quickly and kick-start the roadways programme.

Under Central schemes, the money should be given to the states unconditionally to decide and administer.”